

**Time:** 5 minutes**Outcome:** Distinguish Long-Run Industry Supply & Cost Conditions.**Difficulty:**

Intermediate

Long-Run Industry Supply & Cost Conditions



THE CORE IDEA

Long-run industry supply depends on how industry expansion changes firms' input costs. The long-run industry response can feed back through shared input markets. The slope depends on how industry expansion affects input costs and firms' cost curves.



HOW TO RECOGNIZE IT

- In a constant-cost competitive industry, industry expansion leaves input prices and firms' cost curves essentially unchanged.
- A learner interprets a downward-sloping long-run industry supply curve as a violation of competition.
- Short-run market adjustment creates the profit signal; entry and cost conditions determine the long-run destination.
- Read only the relationships displayed and apply the competitive-firm sequence in the correct order.

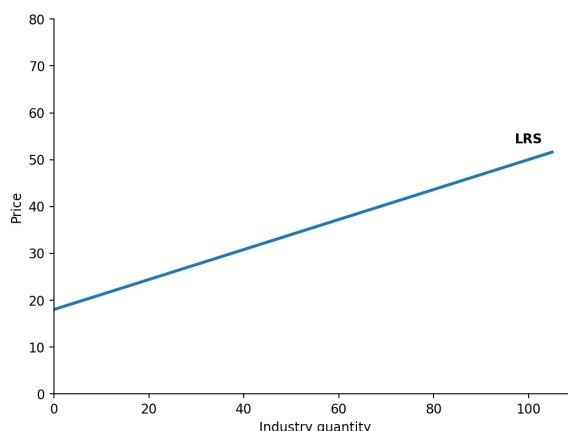


WATCH OUT

Do not confuse industry cost conditions. If expansion does not change input costs, the long-run equilibrium price can return to the original cost level.



WORKED EXAMPLE: READING LONG-RUN INDUSTRY SUPPLY



The long-run industry supply curve slopes upward, rising from roughly \$18 at very low output to above \$50 near 105 units. Industry expansion therefore raises the long-run equilibrium price. That pattern is consistent with an increasing-cost industry in which entry bids up specialized inputs or other production costs.



CHECK YOURSELF

Graph analysis 13: What can produce the downward-sloping long-run industry supply shown?

**READY?**

Return to the game and master this concept.